Claims Payment Policy

Subject: Observation Services

Application: Medicare Advantage and Medicaid Products
Policy number: CP2019003
Related policies: N/A

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Overview

Observation services are specific, clinically appropriate, outpatient services provided to help a healthcare professional decide whether a patient needs to be admitted as an inpatient or can be discharged. This policy outlines the criteria that Humana plans use to determine appropriate billing and documentation of facility observation services.

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Medicare Advantage and Medicaid Payment Policy

In addition to the policy, claims payments are subject to other plan requirements for the processing and payment of claims, including, but not limited to, requirements of medical necessity and reasonableness and applicable referral or authorization requirements.

The following policy applies to facility services only.

For Humana Medicaid plans, this policy applies except when not permissible by state Medicaid guidelines.

Billing of Observation Services

The billing of facility observation services is appropriate only when the observation services were medically necessary, the observation services were ordered by a *qualified healthcare professional*, the patient was under the care of a physician or qualified nonphysician practitioner during observation services, and one or more of the following is true of the encounter:

- Treatment and monitoring were provided to determine if inpatient admission was needed
- The observation services were provided for patient monitoring, after outpatient surgery or diagnostic testing, that was beyond the standard recovery period for the service
- A *qualified healthcare professional* directly referred the patient to the facility for observation services
- The patient was a child who was observed because of an uncertain clinical response to outpatient therapy
- The patient was a child whose parent or caregiver was unavailable or unknown

If none of those events occurred, a Humana plan does not reimburse for a facility observation charge.

The billing of and reimbursement for observation services are limited to rendered observation services that were specifically medically necessary and typically do not exceed 48 hours. Any time for any of the following scenarios is excluded from the calculation of billable observation hours:

- Patient monitoring during diagnostic or therapeutic services, including observation care interrupted by such services
- Routine preparation for outpatient surgery and diagnostic testing
- Services provided during the standard recovery period after outpatient surgery, which is four to six hours, or after diagnostic testing
- Services provided for the convenience of the patient, physician or qualified nonphysician practitioner
- Observation services provided according to a standing order
- The time period between the order for observation services and when observation services began
- The time period between observation services ending and the patient's discharge
- The time period between observation services ending and the arrival of the patient's transportation

Documentation of Observation Services

Humana reserves the right to request medical records, at any time, to confirm accurate billing of observation services. Medical record documentation for observation services must include:

- The physician's or qualified nonphysician practitioner's assessment that determined the patient would benefit from observation services
- The order for observation services
- The start and stop times of observation services

- Time for non-observation services that interrupted observation care, if any
- Nurses' notes
- Progress notes on the patient's condition and treatment to confirm the continuing need for observation services
- Supporting diagnostic and ancillary test reports, if any
- Discharge notes including the discharge order

Definitions of *Italicized* Terms

- ***Qualified healthcare professional**:* A physician or another individual authorized by state licensure law and hospital staff bylaws to admit patients to the hospital or to order outpatient tests.

References

- Social Security Administration website. Social Security Act. Title 18. Section 1862 – Exclusions from Coverage and Medicare as Secondary Payer. Paragraph (a)(1)(A). www.ssa.gov.
- Centers for Medicare & Medicaid Services website. Medicare Benefit Policy Manual. Chapter 6 – Hospital Services Covered Under Part B. Section 20.6 – Outpatient Observation Services. www.cms.gov.
- Centers for Medicare & Medicaid Services website. Medicare Claims Processing Manual. Chapter 1 – General Billing Requirements. Section 50.3.2 – Policy and Billing Instructions for Condition Code 44. www.cms.gov.
- Centers for Medicare & Medicaid Services website. Medicare Claims Processing Manual. Chapter 4 – Part B Hospital (Including Inpatient Hospital Part B and OPPS). Sections 290.2.2 and 290.5.3. www.cms.gov.
- Centers for Medicare & Medicaid Services website. Medicare Claims Processing Manual. Chapter 12 – Physicians/Nonphysician Practitioners. Sections 30.6.8 and 30.6.9.1. www.cms.gov.
- MCG Health. Observation Care Admission Criteria.
- Humana website. Publications. Medicare Provider Manual for Physicians, Hospitals and Healthcare Providers. Medicare Outpatient Observation Notice (MOON) Requirement. Humana.com.

General Humana Resources

- Availity – Providers can register for access to information on a variety of topics such as eligibility, benefits, referrals, authorizations, claims and electronic remittances.
- Claims processing edit notifications – Alerts of upcoming claims payment changes are posted on the first Friday of each month.
- Claims resources – Providers can find information on referrals, authorizations, electronic claim submissions and more.
- Making it easier – This page contains an educational series for providers and healthcare professionals.
- Medical and pharmacy coverage policies – Humana publishes determinations of coverage of medical procedures, devices and medications for the treatment of various conditions. There may be variances in coverage among plans.
- Publications – This page can help you find our quarterly newsletter, provider manual and other resources to help you do business with us.

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